

BUY NOW, PAY LATER

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I. RESEARCH QUESTION AND ETHICAL CONTEXT

Research Question | Do BNPL providers disproportionately reach financially vulnerable consumers, and does the messaging in their advertising obscure or downplay the risks of borrowing?

WHY THIS QUESTION MATTERS

Buy-now-pay-later ("BNPL") has been gaining popularity in the U.S. consumer finance market, with prior CFPB research documenting concentrated adoption among **Black, Hispanic, lower-income, and younger** consumers — the same cohorts least equipped to absorb a missed payment or late fee.

CONNECTION TO DATA ETHICS

Regulatory Gap & Risk Downplay

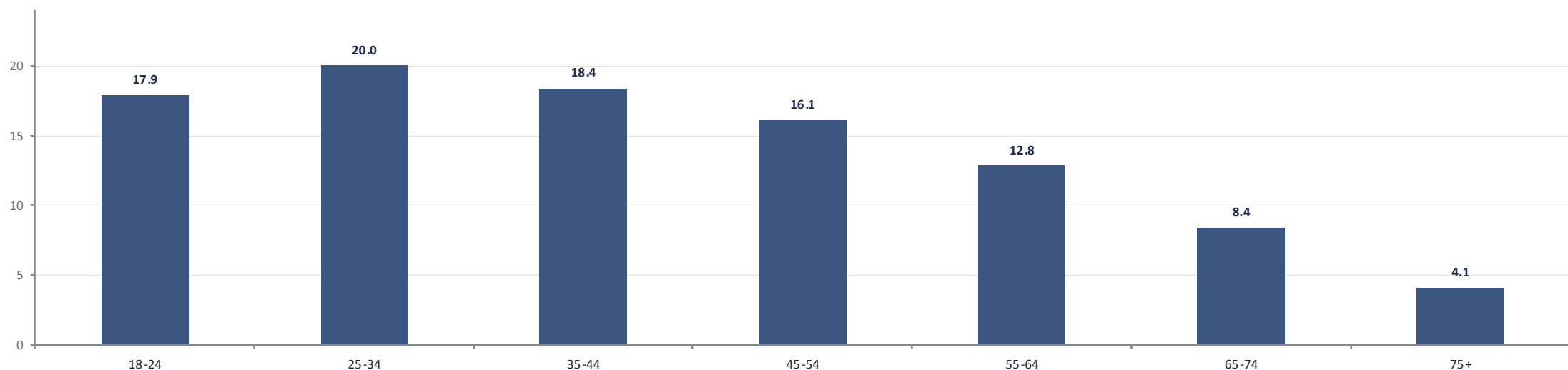
We seek to isolate financial struggle from other factors to understand its correlation with BNPL use. We are investigating whether BNPL companies, which face less regulatory scrutiny than traditional banks, downplay borrowing risks such as missed payment penalties and accrued interest in their social media and marketing campaigns.

ANALYTICAL APPROACH

Data Source. Federal Reserve SHED 2024, n = 12,295 U.S. adults

#	METHOD	SUB-QUESTION
1	Weighted comparison + chi-square test	<i>Does BNPL use vary across groups?</i>
2	Weighted PCA	<i>Build coherent fragility composite</i>
3	WLS multiple regression (OLS)	<i>Does vulnerability survive controls?</i>
4	Stratified subgroup comparison	<i>Does gap persist within demographic cells?</i>

FIGURE 1: BNPL USE BY AGE BAND (WEIGHTED %)



Source: Federal Reserve SHED 2024, weighted; group means of BNPL1 = 1. n = 12,295.

Our FINDINGS

14.7%

Overall BNPL Use Rate

BNPL adoption is heavily concentrated among younger and lower-income consumers, with use peaking among adults in their late twenties and early thirties and declining sharply across older age groups.

20.0% → 4.1%

BNPL Use Falls Across Age Groups

This pattern holds after applying SHED post-stratification weights and is statistically significant after Holm-Bonferroni correction across demographic predictors.

+0.634 SD

Fragility Gap Between BNPL Users vs Non-Users

We find that BNPL users score more than half a standard deviation higher on our composite vulnerability index than non-users.

SUMMARY OBSERVATION

Vulnerability is significantly associated with higher BNPL use — a pattern that persists within demographic subgroups and is consistent across multiple analytical approaches.

II. Our Finding from BNPL MARKETING Contents

FINDING 1 — HOMEPAGE Marketing IS MORE POSITIVE THAN DISCLOSURE PAGES

We find that **homepage marketing contents are significantly more positive in their tone than FAQ pages**, which provide risk disclosures. The primary consumer checkpoint is warmer and more uplifting in tone than pages containing borrowing terms. We also find that **only 17% of homepage text contents contain any risk-disclosing keyword**. This means that risk language is structurally buried than being communicated upfront.

FINDING 2 — PROVIDERS WITH MORE URGENCY-HEAVY COPY SHOW HIGHER CFPB COMPLAINT RATES

We cross-referenced marketing text against 49,140 CFPB consumer complaints and find that **companies with more urgency-heavy marketing tend to show higher rates of complaints**. The complaints are flagged as being deceptive or misleading, with criticism ranging from hidden fees, unexpected late fees, and misleading advertising. We find this as a consistent pattern among major U.S. BNPL providers rather than an occasional statistical finding.